

that have less trust of the open market and instead favor more government intervention are less likely to invest in foreign equities. It is, however, less apparent why social liberalism/conservatism should have any effect on an individual’s investment behavior. They suggest that social liberalism is a proxy for a society’s willingness to accept changes in general, and since in historical terms international investing is relatively modern, socially liberal societies are more likely to pioneer the transition to international investing.

DIAGNOSTIC TESTING

This section contains a diagnostic quiz that can help to detect susceptibility to affinity bias. In the Advice section that follows, you will find guidelines for scoring responses to this quiz, along with corresponding suggestions for managing outcome bias.

Question 1:

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
I invest in companies that make products I like, such as cars, watches, or clothing.	☐	☐	☐	☐	☐

Question 2:

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
I invest in companies that reflect my personal values such as environmental, social, or governance values.	☐	☐	☐	☐	☐

Question 3:

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
My investment portfolio does not contain much in the way of international investments.	☐	☐	☐	☐	☐